No. 18-0918

IN THE

Supreme Court of the United States

OCTOBER TERM, 2018

IN RE BACKSTREETS PLOWING, INC., DEBTOR,

STEVEN VIN SANT, CHAPTER 7 TRUSTEE,

Petitioner,

v.

MILTON WEINBERG,

Respondent.

On Writ of Certiorari
To the United States Court of Appeals
For the Thirteenth Circuit

BRIEF FOR RESPONDENT

QUESTIONS PRESENTED

1. Whether 11 U.S.C. § 362(a)(3) is violated when a secured creditor passively retains possession of collateral that it lawfully repossessed from the debtor prior to the petition date?

2. Whether 11 U.S.C. § 503(b) permits a court to grant an administrative expense for a substantial contribution in a case under chapter 7 of the Bankruptcy Code?

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OPINIONS BELOW

The United States Bankruptcy Court for the District of Moot determined that Weinberg's retention of snow plow trucks legally repossessed prior to the bankruptcy filing, each of which constituted collateral for a loan made to Debtor, did not violate § 362(a)(3). R. at 3. The bankruptcy court found that Weinberg had not violated the stay, and opined that mere possession of property lawfully repossessed prepetition is not an "act to . . . exercise control over property of the estate" within the scope of § 362(a)(3). R. at 6. As to whether a court is permitted to grant an administrative expense to a party who makes a substantial contribution to the estate in a case under chapter 7 of the Bankruptcy Code pursuant to § 503(b), the court held that Weinberg was entitled to a substantial contribution administrative expense under § 503(b), notwithstanding § 503(b)(3)(D). R. at 3. The Court of Appeals for the Thirteenth Circuit affirmed the holding of the Bankruptcy Court. R. at 21. The Supreme Court of the United States then granted Trustee's petition for writ of certiorari.

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STATUTORY PROVISIONS

The relevant statutory provisions involved in this case are listed below and reproduced in Appendices A through F.

11 U.S.C. § 102(3)

11 U.S.C. § 361

11 U.S.C. § 362(a)(3)

11 U.S.C. § 502(f)

11 U.S.C. § 503(b)

11 U.S.C. § 503(b)(3)(D)

11 U.S.C. § 507

11 U.S.C. § 541

11 U.S.C. § 542

11 U.S.C. § 704

11 U.S.C. § 1109(b)

STATEMENT OF FACTS

Backstreets Plowing, Inc. (the "Debtor") operated a seasonal snow plow business. R. at 3. In the spring of 2015, the Debtor's sole shareholder, Christopher "Big Man" Clemons ("Clemons"), determined that to remain competitive for the upcoming winter, he would need to purchase newer, more fuel-efficient, snow plow trucks to reduce the substantial costs incurred every winter in maintaining and repairing its much older trucks while also enabling the Debtor to compete for a valuable plowing contract with the City of Badlands. R. at 3.

Realizing that he was short on funds, Clemons secured a $450,000 loan from Respondent Milton Weinberg ("Weinberg"), for the Debtor's purchase of new snow plow trucks for which the Debtor granted Weinberg a security interest in the trucks and Clemons personally guaranteed the loan. R. at 4. Although the Debtor purchased the new trucks shortly after receiving the loan proceeds in August 2015, Weinberg agreed that the Debtor would commence payments once the plowing business started generating revenue in December 2015. R. at 4.

Thereafter, the Debtor, along with its local competitors, Tenth Avenue Freeze, Inc. ("Tenth Avenue") and Stone Pony Plowing, LLC ("Stone Pony"), submitted bids for the plowing contract with the City of Badlands. R. at 4. The Debtor's bid was far superior to its competitors and the City of Badlands, notwithstanding concerns publicly addressed by city council members, awarded the contract to the Debtor. R. at 4.

Although the winter of 2015-2016 was unusually mild in Badlands, it proved profitable for the Debtor as labor, maintenance and fuel costs were far less than expected. R. at 5. However, Clemons failed to make the initial December 2015 loan payment to Weinberg. R. at 5. Clemons again failed to make a loan payment to Weinberg in January 2016 and February 2016. R. at 5.

The Debtor was unresponsive to Weinberg's calls so Weinberg drove to the Debtor's facility in February 2016 and, according to Weinberg, was forcibly removed from the premises

by a group of the Debtor's drivers at the direction of Clemons. R. at 5. In April 2016, Weinberg filed suit against both the Debtor, for failure to make payments on the note, and Clemons on his personal guarantee. R. at 5. Weinberg obtained a default judgment in October 2016 against both the Debtor and Clemons, jointly and severally, for $450,000 plus interest and fees; however, he did not immediately take action to collect on the judgment. R. at 5.

The winter of 2016-2017 vastly differed from the prior winter and the heavy snowfall proved particularly brutal resulting in substantial losses for the Debtor which was unable to pay its labor, maintenance and fuel costs as they came due. R. at 5-6. In January 2017, Weinberg hired a repossession company which retrieved the snow plow trucks from the Debtor's parking lot in late January 2017 and delivered them to a warehouse owned by Weinberg, where the trucks remain to this day. R. at 6. Without the trucks, the Debtor was unable to fulfill its plowing contract with the City of Badlands, who threatened to cancel the contract and sue for damages. R. at 6. Subsequently thereafter, the Debtor filed a chapter 11 petition on February 4, 2017. R. at 6. The Debtor's attorneys sent Weinberg a letter demanding return of the snow plow trucks and Weinberg refused on the basis of his understanding that the Debtor had the burden to bring a turnover action, in which case he could demand adequate protection of his interest in the snow plow trucks. R. at 6.

Rather than commencing a turnover action, the Debtor sought to have the bankruptcy court rule on a motion to determine that Weinberg's continued retention of the vehicles constituted a violation of the automatic stay under 11 U.S.C. § 362(a)(3). R. at 6. The bankruptcy court ruled in favor of Weinberg holding that Weinberg's mere retention of property lawfully repossessed prepetition is not an "act to . . . exercise control over property of the estate" within the scope of § 362(a)(3). R. at 6.

Shortly after the Debtor's timely appeal of the bankruptcy court's ruling in March 2017, Clemons determined efforts to reorganize the Debtor were futile and voluntarily converted to a chapter 7 case. R. at 6-7. On April 13, 2017, Petitioner Steven Vin Sant, the Chapter 7 Trustee ("Trustee"), was appointed to administer the Debtor's bankruptcy estate. R. at 7. The bankruptcy appellate panel stayed the pending appeal to allow the Trustee to substitute in for the Debtor and get up to speed on the appeal. R. at 7.

In May 2017, Weinberg, deciding to pursue collection efforts against Clemons on the default judgment related to his personal guarantee, hired a collection law firm who took a creditor's examination of Clemons which uncovered that beginning May 2016, only one month after the filing of Weinberg's initial lawsuit against the Debtor and Clemons, the Debtor made transfers of approximately $100,000 to Clemons' daughter, Patti. R. at 7.

Weinberg voluntarily provided the Trustee with sufficient documentation and testimony to establish that the transfers were avoidable as fraudulent transfers. R. at 7. Utilizing the documentation and testimony supplied by Weinberg, the Trustee quickly reached a settlement whereby Patti Clemons agreed to pay $75,000 to the estate in satisfaction of all claims asserted in the adversary proceeding. R. at 7.

Following the bankruptcy court's approval of the settlement, Weinberg filed a motion seeking allowance of a substantial contribution administrative expense pursuant to § 503(b) in connection with the incurrence of $25,000 in legal fees investigating the transfers. R. at 7. The Trustee acknowledged that Weinberg had in fact made a substantial contribution to the estate, yet opposed the motion on the grounds that administrative expenses for substantial contributions are not permissible in a chapter 7 case citing § 503(b)(3)(D) which, according to the Trustee, expressly limits such administrative expenses to cases under chapters 9 and 11. R. at 8. The

bankruptcy court approved Weinberg's motion, granting him an allowed administrative expense in the amount of $25,000, which the Trustee timely appealed. R. at 8.

In September 2017, the Trustee received an offer to purchase substantially all of the Debtor's assets from Tenth Avenue, such offer being contingent upon the Trustee conveying possession of and title to the snow plow trucks. R at 8. The Trustee unable to successfully negotiate with Weinberg hoped to pressure Weinberg into turning over the trucks by continuing to prosecute the appeal. R. at 8. Tenth Avenue withdrew its offer in November 2017 after it became clear the Trustee would not be able to convey title to the snow plow trucks before the start of the winter plowing season. R. at 8.

In January 2018, the Trustee accepted an offer presented by Stone Pony of $100,000 less for the Debtor's assets, excluding the snow plow trucks and, in February 2018, the bankruptcy court approved the sale to Stone Pony. R. at 8-9.

The Trustee refused to dismiss the appeals following the sale of the Debtor's assets to Stone Pony stating that he sought to prevail on his appeal of the stay violation issue and thereafter recover from Weinberg, as damages for his alleged violation of the automatic stay, the difference between the offer initially made by Tenth Avenue and the sale proceeds received from Stone Pony. R. at 9. Simultaneously, the Trustee proceeded with the substantial contribution appeal. R. at 9. The appeals were consolidated and the bankruptcy appellate panel affirmed on both issues. R. at 9. This appeal followed.

SUMMARY OF THE ARGUMENT

The courts below have successfully interpreted the Bankruptcy code. However, the Circuit courts are split on whether substantial contributions in chapter 7 cases should be allowed. As a result, Chapter 7 Trustees and creditors are caught in the middle. As a result, creditor's risk

not being reimbursed when there is an undisputed substantial contribution made in a chapter 7 case. Therefore, Weinberg is before the Supreme Court today because he has followed the rules of Bankruptcy, believes in its pillars and is entitled to reimbursement as stated in the Bankruptcy code.

First, the automatic stay was not violated according to § 362(a)(3) under the Bankruptcy Code. The express language of the statute is clear that a prerequisite act is required. An act did not occur in accordance with § 362(a)(3) ; thus, a violation did not occur. Additionally, passive retention is not an act according to § 362(a)(3). Merely maintaining the status quo of property that was possessed prior to the petition date but later becomes estate property is not an act that may violate the automatic Stay. Here, Weinberg simply safeguarded property lawfully repossessed pre-petition which should not be construed as an act in accordance with the statute.

Further, the automatic stay according to § 362 was not violated because turnover power is not automatic pursuant to § 542, thus not self-executing, and must therefore be brought as an adversary proceeding. The Debtor's filing of a motion rather than an adversary proceeding was inadequate. Accordingly, this Court should affirm the ruling that Weinberg did not violate the automatic stay.

Second, a substantial contribution should be allowed in a chapter 7 bankruptcy case because § 503(b)(3)(D) is not an exhaustive list. Congress did not expressly restrict chapter 7 from administrative claims. Additionally, Congress says what it means and means what it says; therefore, it is improper to add restrictions that were not expressly set forth in the statute. It is the job of Congress, not the bankruptcy courts, to add restrictions not expressly set forth. Additionally, creditor participation is encourage in bankruptcy.

Moreover, if bankruptcy is predicated upon equitable principles, prohibiting an administrative expense claim for a substantial contribution in a chapter 7 purely on the basis that

chapter 7 is not specifically listed, yet not expressly excluded, in § 503(b)(3)(D), the result would be inequitable. This is particularly evident in the circumstances present in this case where it is uncontested that a substantial contribution was made to the estate for the benefit of all creditors. It can only stand to reason that permitting an administrative expense claim for a substantial contribution to a creditor in a chapter 7 case, who takes action to benefit the estate, would positively enhance bankruptcy as a whole.

Finally, a fundamental pillar of the federal bankruptcy laws enacted by Congress is to give honest but unfortunate debtors weighed down by the burden of debt a financial fresh start. Failure to reaffirm this case would be in direct contradiction to that purpose and provide an avenue for debtors to circumvent the procedural steps explicitly set forth in the statute and abuse the protections afforded by filing for relief. Further, reversing this case would infringe upon another fundamental pillar of bankruptcy, to maximize creditor recovery, by discouraging creditors from participating in a chapter 7 where such participation could enhance the value of the estate to the benefit of all creditors. This Court should affirm and chapter 7 creditors should be awarded allowable substantial contribution administrative expense claims based on the principles of equity and the totality of the circumstances and to prevent chapter 7 creditors from being discouraged to participate in a chapter 7 for the purposes of maximizing the value of the estate.

ARGUMENT

A de novo standard of review applies when a court assesses a bankruptcy court's conclusions of law. *Texas v. Soileau (In re Soileau),* 488 F.3d 302, 305 (5th Cir. 2007). In this case, the chapter 7 trustee raises the legal question of whether the automatic stay violation was

violated and the legal question of whether a substantial contribution claim may be awarded in a Chapter 7 case. R. at 2-3. Therefore, this case shall be reviewed on a de novo standard.

I. The Automatic Stay Was Not Violated.

As of the commencement of the Bankruptcy Code, it has been the intention of Congress to uphold the purpose and pillars of Bankruptcy: to provide a debtor with a fresh financial start and to maximize the estate. There are many provisions throughout the Bankruptcy Code intended to protect debtors, however, many of those provisions also require compliance with other bankruptcy rules and provisions to prevent a creditor from being further harmed due to a bankruptcy petition being filed.

The automatic stay governed by §362 is one of the fundamental debtor protections provided by the bankruptcy laws. To prevent creditors from taking further action against a debtor, the statute imposes an automatic stay. In accordance with §362(a)(3), the stay applies to "any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate". This provision, §362(a)(3), and its applicability to passive retention of estate property post-petition, though lawfully repossessed pre-petition.

A. Section 362(a)(3) Requires an Act to Occur to Violate The Automatic Stay.

Section 362(a)(3) requires an act to take place in order for a violation of the automatic stay to occur. First, the express language of §362(a)(3) requires an act to exist. Second, even going beyond the express language of the §362(a)(3), congressional intent displays that Congress intended for an act to take place in order for the automatic stay to be violated. Lastly, passively retention is not an act and does not violate the automatic stay under §362(a)(3).

1. The Express Language of §362(a)(3) Requires an Act to Occur.

An affirmative act must first take place, according to §362(a)(3), in order for a violation of the automatic stay to occur. *WD Equip., L.L.C. v. Cowen (In re Cowen)*, 849 F.3d 943 (10th

Cir. 2017). In the case, *In re Cowen,* the debtor borrowed funds from WD Equipment in order to repair his commercial trucks. *Id*. at 945. After the debtor defaulted on payments, WD Equipment repossessed the commercial trucks, and the debtor filed for Bankruptcy. *Id*. The debtor asserted the automatic stay was violated, which the court held that a violation take place when a post-petition act occurs. *Id*. at 946.

In re Cowen, the court recognized infinitive phrases within the statute. *Id*. at 949. This Court held that in order for the statute to be read clearly, a pre-positive modifier applies to each infinitive phrase in the statute, which is "any act". *Id*. Each of the phrases appearing in §362(a)(3), being (1) "to obtain property from the estate", (2) "of property from the estate", and (3) "or exercise control over property of the estate" read independently are ambiguous. *See In re Cowen*, 849 F.3d 943 (10th Cir. 2017). For example, the second phrase of §362(a)(3), of property from the estate, is an incomplete sentence when read independently. Therefore, the pre-positive modifier "any act" must be applied to each infinitive phrase in the statute, because the reach of the modifier is clarified by making a list. *Plain English for Lawyers* (5th ed. 2005). It stands to reason then, that the statute must be read as though the pre-positive modifier was expressly stated therein, thus *any act* to obtain possession property from the estate or *any act* to obtain possession of property from the estate or *any act* to exercise control over property of the estate.

Further analysis of the statute reflects that the Bankruptcy code does not construe or define the term act, therefore the ordinary meaning of the word must apply. *Asgrow Seed Co. v. Winterboer*, 513 U.S. 179, 187 (1995). Applying the ordinary meaning, act is defined as the process of doing something or performing something. *Act, Black's Law Dictionary* 26 (8th ed. 2004). It is clear from the plain meaning of the word act, that an act of affirmatively doing or performing something is required for a violation to occur under the statute. *WD Equip., L.L.C. v.*

Cowen (In re Cowen), 849 F.3d 943, 949 (10th Cir. 2017). Thus, the express language under §362(a)(3) of the bankruptcy code requires an act to occur in order for a violation of the automatic stay to take place.

The countervailing position, which finds that any act solely applies to the first infinitive phrase, creates ambiguity in the statute. Applying the modifier solely to the first phrase renders the second phrase incomplete and without the application of "any act". It is clear that courts should not strain to find an ambiguity where the language is clear and precise. *Freedom Cashier, Inc. v. Fed. Ins. Co.,* 693 N.Y.S.2d 604 (App. Div. 1999). This interpretation is a strain. Applying statutory construction, the second phrase must be read with the modifier any act because the same terminology is used in the previous phrase. *In re Bernstein*, 252 B.R. 846 (Bankr. D.D.C. 2000). This undermines the exact language of the statute. This is an incorrect reading and interpretation of the statute because it ignores the exact purpose of the modifier any act. Applying the reading and interpretation, the complete statute would be unclear as it will contain fragments, such as the second phrase 'of property of the estate'. Therefore, the correct reading and interpretation of the statute must contain any act as a prepositive modifier to each phrase in order to be clear.

In our case, Weinberg did not perform any act for a violation to occur. The debtor filed for bankruptcy after Weinberg lawfully repossessed the snow plow trucks. R. at 6. After the debtor filed for bankruptcy, Weinberg did not perform any act post-petition. The action that was performed by Weinberg, such as the repossession of the snow plow trucks, occurred prior to the debtor filing for bankruptcy. Therefore, Weinberg did not violate the automatic stay under §362(a)(3) of the bankruptcy code because Weinberg did not perform a required act.

2. Congress Intended For an Act to Occur.

The express language of §362(a)(3) is clear, as it requires an act to take place in order for a violation of the automatic stay to occur, therefore inquiry may end there. However, even if we

go beyond the express language of the statute, congress intended for an act to occur in order to violate the automatic stay.

In the case, *In re Rutherford*, the court reasoned that if Congress intended to expand § 362(a)(3) to passive conduct, it could have used the words "retain possession." *Rutherford v. Auto Cash, Inc. (In re Rutherford)*, 329 B.R. 886 (Bankr. N.D. Ga. 2005). However, when the statutory language is silent, legislative intent can be gleaned from the purpose of the statute. *Teets v. Miller*, 788 S.E.2d 1 (2016). Here, the purpose of the statute is to maintain the estate once a petition has been filed. *United States v. Inslaw, Inc.*, 932 F.2d 1467 (1991). Thus, the statute does not extend to a failure of acts post-petition because that goes beyond the purpose of the statute. Thomas E. Plank, *The Outer Boundaries of The Bankruptcy Estate*, 47 EMORY L.J. 1193 (1998). Therefore, when the literal application of the statute strays from the intentions of the drafters, the intention of the drafter's controls. *In re Perrotta*, 2008 BNH 9, 390 B.R. 26, 29 (2008).

It is unambiguous that an act is required under §362(a)(3). However, even if this position is rejected, the countervailing argument is not appropriate as Congress only intended for the added phrase after the 1984 amendments, exercise control, to apply to property that cannot be actually possessed. The opposing argument reasons that the 1984 Congressional amendments of the statute apply to the exercise control under §362(a)(3) of the Bankruptcy Code. *In re Sharon*, the amendment was designed to broaden the scope of the stay. 5 *Collier Bankr. Manual* § 362.03 at 362-19, 362-20 Henry J. Sommer and Richard Levin (3rd ed. 1989). *In re Sharon* states, "The 1984 amendments expanded the proscription of §362(a)(3) to encompass acts which "exercise control" over property of the estate in addition to affirmative acts to "obtain possession" of such property. *In re Sharon*, 200 B.R. 181 (Bankr. S.D. Ohio 1996).

The countervailing position incorrectly interprets the amendments, and the use of the words therein. Use of the word 'control' in the 1984 amendment to §362(a)(3) suggests that the drafters meant to distinguish the newly prohibited 'control' from the already – prohibited acts to obtain 'possession,' in order to reach nonpossessory conduct that would nonetheless interfere with the estate's authority over a particular property interest. Intangible property rights that belong to the estate, such as contract rights or causes of actions are incapable of real possession unless they are ratified. Therefore, §362(a)(3) preserves and guards against interference with them by staying any act to exercise control over estate property.

3. Passive Retention is Not an Act.

Under § 362(a)(3), passive retention is not considered an act that may violate the automatic stay. The term, "act", requires a positive distinct action. *In re Peake*, 588 B.R. 811 (Bankr. N.D. Ill. 2018). As distinguished by *In re Peake*, the Seventh Circuit was not just interpreting the term act, it interpreted the entire phrase "act to exercise control". *Id*. *In re Peake,* also noted that what might constitute an act to exercise control is not necessarily the same as an act to maintain or continue the perfection of an interest. *Id*. Applying the interpretation reached in this court would undermine the exact purpose of the automatic stay, to freeze the estate.

Thompson v. GMAC, L.L.C. involved a creditor who seized a car of the debtor after the debtor defaulted on his car payments. *Thompson v. GMAC, LLC*, 566 F.3d 699 (7th Cir. 2009). The debtor filed a chapter 13 bankruptcy and the creditor refused to relinquish possession of the car. *Id*. The court found that the creditor passively retained the vehicle, which violated the automatic stay because the creditor's passive retention was an act to exercise control over the estate property. *Id*.

In the case, *In re Richardson*, the court held that the Debtor purchased a vehicle, but was unable to satisfy her financial obligations as agreed by the parties. *In re Richardson*, 135 B.R.

256 (Bankr. E.D. Tex. 1992). Therefore, the dealership lawfully repossessed the vehicle and the debtor filed for Chapter 13 bankruptcy, and the dealership refused to turnover property, thus the debtor asserted that an automatic stay was violated. *Id*. The court held that the automatic stay provision for creditors cannot be concluded to punish creditors who legally seize the property pre-petition, and who fails to return the property immediately to the debtor. *Id*. The court concluded that the automatic stay was not violated. *Id*.

The court *In re Quality Health Care* noted that the provisions under § 362(a)(3), suggests that Congress intended for an act to take place. *Id.* Congress says what it means and means what it says. *See Gouveia v. IRS (In re Quality Health Care)*, 215 B.R. 543 (Bankr. N.D. Ind. 1997). The statute does not indicate that Congress intended for the definition of the term "act" to extend to the failure of an act. *In re Rutherford*, 329 B.R. 886 (Bankr. N.D. Ga. 2005). This is significant because Congress acts intentionally and purposely, thus if Congress intended to include passive conduct it would have done so expressly. *Official Comm. of Unsecured Creditors of Antonelli v. United States (In re Antonelli),* 150 B.R. 364 (Bankr. D. Md. 1992). Thus, the courts sole function is to enforce § 362 as the plain language states, and not to expand the term "act" to encompass "failure to act". *In re Mid-City Parking, Inc.*, 332 B.R. 798 (Bankr. N.D. Ill. 2005).

Applying the analysis that was achieved in *In re Richardson* and *In re Quality Health Care*, passive retention cannot be considered an act, and therefore passively retaining lawfully repossessed property is not a violation to the automatic stay. *Brown v. Addison, Inc. (In re Brown)*, 210 B.R. 878,881 (Bankr. S.D. Ga. 1997). Thus, our analysis cannot rely on *Thompson v. GMAC, L.L.C.* interpretation to determine if a passive retention is deemed an act.This evidences that merely retaining property after a petition date is permitted. Maintaining the seized

property in the status it enjoyed just before the filing of debtor's petition, a creditor is merely complying with the spirit of § 362. *In re Richardson*, 135 B.R. 256,259 (Bankr. E.D. Tex. 1992).

In our case, the Debtor filed the petition in February 2017, when there was little time to make any profit since he was already unable to pay labor, maintenance, and fuel costs. R. at 6. Thus, at the close of the season, without any plow trucks, he decided to file Chapter 11 bankruptcy to reorganize his business. R. at 6. This event occurred in January 2017, weeks after Weinberg legally repossessed the snow plow trucks. R. at 6. Therefore, Weinberg did not violate the automatic stay by passive retention because passive retention requires an act, and Weinberg did not perform an action post-petition. Weinberg maintained the status quo of the estate, because he merely retained possession that he obtained prior to the petition. Thus, he did not exercise control over property of the estate because he did not perform an overt physical action. Weinberg did not perform an act that violates the automatic stay according to § 362(a)(3) under the Bankruptcy Code.

B. The Turnover Statute Was Not Filed as an Adversary Proceeding.

Section 542 of the Bankruptcy Code governs turnover of property of the estate. The turnover provision, according to § 542(a), requires any entity in possession of property that the trustee may use, sell, or lease under § 363 shall deliver such property to the trustee, unless it is of inconsequential value or benefit to the estate. 11 U.S.C. § 542 (2011). Section 542 uses the word shall in reference to § 363. Since 'shall' is not defined nor construed in the bankruptcy code, the plain meaning of the word must suffice. *State Farm Mut. Auto. Ins. Co. v. Rodriguez*, 987 N.E.2d 896,901 (2013). As used in statutes and similar instruments, the word 'shall' is generally imperative or mandatory. *Shall, Black's Law Dictionary* 1407 (8th ed. 2004). Since § 542 specifically references § 363 while using 'shall', it is necessary that we evaluate the connection used between § 542 and § 363.

1. The Turnover Statute is Not Self Executing.

Section 363 under the Bankruptcy Code, requires the debtor to actually perform an act to do something in order for the property to be turned over. This requirement is evidenced by 363(b)(1) that requires the trustee or debtor to provide a notice and a hearing before property of the estate is turned over. Applying this interpretation, if a trustee or a debtor is required to provide notice and a hearing before property may be turned over, the provision under § 542 cannot be self–executing. *In re Hall*, 502 B.R. 650,657 (Bankr. D.D.C. 2014). Self-executing means taking effect immediately without implementing legislation. *Self-executing Merriam-Webster's Collegiate Dictionary* 1127 (11th ed. 2003). Thus, § 542 is not self–executing because it necessitates other requirements, which are notice and a hearing, before turnover of property to the estate is required. *In re Hall*, 502 B.R. 650,657 (Bankr. D.D.C. 2014).

The opposing stance holds that § 542, the turnover provision, is self-executing, requiring no action upon the debtor. *Weber v. SEFCU (In re Weber)*, 719 F.3d 72 (2d Cir. 2013). In the case, *In re Weber*, the court asserted that §542(a) is self-executing and requires that an entity in possession of property of the estate deliver it to the trustees, without condition. *Id*. In this case, Weber and SEFCU entered into a loan agreement pursuant to which SEFCU obtained a security interest in Weber's vehicle, a pickup truck, which granted SEFCU the right to repossess the vehicle upon default *Id*. SEFCU became entitled to proceed against weber and took possession of the vehicle, and four days after the seizure, Weber filed for bankruptcy under chapter 13. *Id*. Even after filing an adversary proceeding against SEFCU, SEFCU retained possession of the vehicle, which Weber asserts the automatic stay was violated *Id*. SEFCU asserted there was no violation because he had reasonable basis for declining to release the vehicle according to § 542. *Id*. The court held that SEFCU violated the automatic stay. *Id*.

The Weber court was incorrect in asserting that § 542 is self-executing. The express language of the statute does not require the immediate turnover of property, deeming the statute self-executing. § 542(a) does not require delivery to the trustee without condition. *In re Hall*, 502 B.R. 650 (Bankr. D.D.C. 2014).The debtor cannot use the turnover provision to liquidate or demand assets. *See United States v. Whiting Pools*, 462 U.S. 198 (1983). If the provision of § 542(a) was self-executing, it would not have included the requirement for the debtor to provide notice or a hearing. Providing this requirement, suggests that the debtor must first affirmatively act, pursuant to providing sufficient notice of requesting the turnover of property. This evidences that the provision is not self-executing.

The notice that is required for the turnover of such property is an adversary proceeding, pursuant to Bankruptcy Rule 7001. Bankruptcy rule 7001(1) specifically governs proceedings to recover money or property that must be brought as an adversary proceeding. While the countervailing position suggests that a turnover action may be brought as a motion instead of an adversary proceeding, this undermines the explicit Bankruptcy Rule itself. Notice of the turnover of property is necessary so that the creditor may request adequate protection of its interests, pursuant to § 361. Section 361 under the Bankruptcy code governs when adequate protection is required under § 362 of the Bankruptcy code. Section 361(1) provides that adequate protection may be requested pursuant to §362, in order to provide protection for creditors for a possible decrease in value of the property's interest.

2. Adequate Protection is Sought After the Commencement of an Adversary Proceeding.

In order to appreciate the entirety of the turnover action, we must analyze § 363(e), as it relates to § 542 under the Bankruptcy Code. Section 363(e) conditions the use and sell of property in the possession of an entity, without the grant of adequate protection of such interest. Section 363(e) under the Bankruptcy Code requires that any property turned over in which the

creditor has a security interest shall assure adequate protection to the creditor. *Camacho v. United States*, 190 B.R. 895, 902, n.11 (D. Alaska 1995). This section evidences that adequate protection may first be sought before property is turned over. The adequate protection doctrine exists in essence to prevent impairment of a secured creditor's position as a result of a decline in the value of debtor's assets. Thus, the adequate protection which is sought protects the person or entity in possession of the property.

The opposing argument relies heavily on *United States v. Whiting Pools. United States v. Whiting Pools, Inc.,* 462 U.S. 198, 204 (1983). While the court held that the turnover of property is sufficient or property that is seized pre-petition, this court also held that the turnover property was sufficient *only* after adequate protection has been provided. *Id*. The court in *Whiting Pools* held that a creditor may demand adequate protection as a condition precedent to turnover. *Id*.

The court in *Whiting Pools* held that a creditor may demand adequate protection as a condition precedent to turnover. *Id*. Therefore, this indicates that once adequate protection is sought, the turnover of property is not granted until such adequate protection is received. While adequate protection may be sought without the presence of a turnover action, which is brought as an adversary proceeding, the code nor case law does not suggest that a creditor must turnover property without receiving the adequate protection that is sought. Therefore, a creditor is entitled to request and receive adequate protection once a turnover action is brought as an adversary proceeding. After such request, a creditor is also entitled to retain property until the entity receives adequate protection.

The facts of the present case reveal that Weinberg legally obtained possession of the snow plow trucks prior to the Debtor filing for bankruptcy. R. at 6. After the Debtor filed for bankruptcy, Weinberg retained possession of the snow plow trucks until a turnover action was brought as an adversary proceeding such that Weinberg could demand adequate protection of his

interests. R. at 6. The Debtor never brought the turnover action as an adversary proceeding, but instead, incorrectly filed a motion seeking the bankruptcy court's determination that Weinberg violated the automatic stay. R. at 6. Thus, since the debtor incorrectly filed the turnover action as an adversary proceeding, the creditor was robbed of the opportunity to request adequate protection. Applying the rules of the code and case law, adequate protection may be sought before the turnover of property takes place. Therefore, Weinberg is not entitled to turnover property of the estate, until the debtor brings the action as an adversary proceeding, which will provide Weinberg the opportunity to request adequate protection. The debtor in this case did not bring a turnover action as an adversary proceeding, therefore, Weinberg did not violate the automatic stay.

C. Affirmation of this Case is in the Best Interest of Bankruptcy.

The affirmation of this case is significant as the cases that follow will have similar rulings. In *United States v. Duvall*, the court held that vertical stare decisis is absolute and requires lower courts to follow applicable Supreme Court rulings in every case. *United States v. Duvall*, 740 F.3d 604 (D.C. Cir. 2013). Therefore, if this case is not affirmed, cases which follow will be ruled in the same manner. For clarification, this means that other debtors who fraudulently files, such as the one in our case, will follow the same trends. Debtors will continue to take advantage of the Bankruptcy system by creating a cycle, which will involve borrowing excessive amounts of money, defaulting on payments, and then filing frivolous bankruptcy claims for the sole purpose of receiving their property back. Creditors will continue to be deprived of their repayments, and debtors will destroy bankruptcy as a whole.

In our case, although the debtor was already competitive in his business, the debtor desired $450,000 loan to obtain a contract which would last only a year. R. at 4. Weinberg, acting as a good teammate and believing in the debtor's business, loaned the debtor the funds

which they agreed would be paid through monthly payments once the business started generating funds. R. at 4. After making an unreasonable bid, compared to other competitors, the debtor became very profitable. R. at 5. Despite being very profitable, the debtor did not make payments on the trucks as agreed upon. R. at 5. After providing the debtor an ample amount of chances to make payments, Weinberg rightfully repossessed the snow plow trucks. R. at 6. For the sole purpose to receive the snow plow trucks back, instead of to pay Weinberg and reorganize, the debtor filed for Bankruptcy. R. at 6. Weinberg also later discovered that the debtor dishonestly and fraudulently transferred funds to a third party, perhaps in hopes to keep the money for himself instead of paying Weinberg for the investment he made in the debtor and his business. R. at 7. Later, the debtor only converted from a Chapter 11 Bankruptcy to a Chapter 7 Bankruptcy in order to manipulatively receive money for his business. R. at 8.

Even if this court incorrectly holds that an act did take place, the creditor may still be exempt from damages or liability. According to Ninth Circuit, a creditor's good faith belief excuses a discharge violation, even if the creditor's belief is unreasonable. *In re Zilog, Inc*., 450 F.3d 996 (9th Cir. 2006). In the case, *In re Zilog, Inc*., the court held that even an unreasonable belief that the discharge injurntion did not apply to a creditor's claims would preclude a finding of contempt. This evidences that a creditor may still be held not liable for violating the automatic stay, if such a violation was made in good faith. This is true even if such a good faith belief is unreasonable.

In our case, Weinberg did not perform an act. However, if the court rejects this contention, Weinberg still cannot be liable for damages due to his good faith belief that he could legally keep the vehicles. Based on the analysis provided, Weinberg did not perform an act according to § 362(a)(3) of the Bankruptcy Code. Thus, Weinberg cannot be held to have violated the automatic stay.

II. Substantial contributions should be allowed in chapter 7 cases.

The second issue before this Court is whether 11 U.S.C. § 503(b) permits a court to grant an administrative expense for a substantial contribution in a case under chapter 7 of the Bankruptcy Code. Section 503(b) of the Bankruptcy code is a non-exhaustive list. The statutory language encourages an expansive reading of this statute. Moreover, equitable considerations provide that where there is an undisputable substantial contribution in a chapter 7 proceeding, a creditor is entitled to reimbursement. The statutory language coupled with the equitable considerations supports the purpose of bankruptcy, which is to maximize the estate and provide a fresh start for honest but unfortunate debtors.

A. Section 503(b) of the Bankruptcy code is not an exhaustive list; thus Chapter 7 cases are not excluded.

Substantial Contributions should be allowed in Chapter 7 cases and there are three reasons why. First, allowing substantial contributions in Chapter 7 cases is aligned with the statutory language. Section 503 governs allowance of administrative expenses and § 503(b) lists nine categories of allowable administrative expenses. Secondly, it supports the purpose of the statute, which is to reimburse creditors for participation in any chapter of bankruptcy. Third, it is aligned with equitable considerations provided by bankruptcy, which benefits bankruptcy as a whole.

1. The Express Language of § 503(b) is non exhaustive.

The language of the statute states: "After notice and a hearing, there shall be allowed, administrative expenses, other than claims allowed under § 502(f) of this title 11 U.S.C. § 502(f) *including* (emphasis added). *Including* is a canon of construction specifically addressed by Congress in 11 U.S.C. § 102(3) of the Bankruptcy Code. Section 102 sets forth nine rules of construction. Although they are not definitions, they are terms adopted by the Bankruptcy Code to inform the courts' understanding of language in the Bankruptcy Code. *See Hartford*

Underwriters Ins. Co. v. Union Planters Bank, 530 U.S. 1 (2000). As a result, the term including must be explained so that other provisions, such as § 503(b)(3)(D), will not be rendered inconsistent, meaningless, or superfluous. Thus, courts addressing this issue, must rely on the established canon of statutory construction in 11 U.S.C. § 102(3) to interpret § 503(b).

According to § 102(3), the terms 'includes' and 'including' are explained as not limiting. *United States v. Flo-Lizer, Inc.,* 916 F.2d 363 (6th Cir. 1990). Thus, given the explanation of the canon, a court is not limited to the specific illustrative examples of claims set forth in 11 U.S.C. § 503(b). While it is true that the court is not free to fashion additional priorities, it ought not be assumed that the nine designations are necessarily exclusive nor designed to cover every conceivable situation. The use of the word "including" as the last word in the lead-in sentence of 11 U.S.C. § 503(b), in accordance with 11 U.S.C. § 102(3), is not limiting. *In re Pappas*, 277 B.R. 171,176 (Bankr. E.D.N.Y. 2002). A court might conclude that an administrative expense claim should be allowed, however it is not necessarily precisely covered by the provisions of 11 U.S.C. § 503(b). *In re Health Trio, Inc.*, 584 B.R. 342,353 (Bankr. D. Colo. 2018). Further, what constitutes actual and necessary costs and expenses of preserving an estate might well be open to judicial construction instead of amendments and legislative process. *Cal. Taxpayers Action Network v. Taber Constr., Inc.*, 12 Cal. App. 5th 115 (Ct. App. 2017).

2. Congress Intended for § 503 to be Read Expansively.

Turning to the legislative history, under former law, use of the word "includes" when setting out types of organizations that came within definition, rather than the word "means", implied that failure to mention a specific entity did not mean that entity falls outside definition. *Highway & City Freight Drivers, etc. v. Gordon Transports, Inc.,* 576 F.2d 1285 (1978). This is important because this same reasoning should be applied when interpreting § 503(b). Although

section 503(b) does not expressly include chapter 7 proceedings that does not mean chapter 7 proceedings are not included in § 503(b).

The Congressional history of 102 tells us that Paragraph (3) is a codification of *Am. Surety Co. v. Marotta*, that specifies that "includes" and "including" are not limiting. *Am. Surety Co. v. Marotta*, 287 U.S. 513 (1933). In *Am. Sur. Co. v. Marotta*, the petitioner appealed an order sustaining respondent's contention that to constitute an act of bankruptcy, a fraudulent transfer had to hinder, delay, or defraud a creditor holding a claim that was provable at the time of conveyance. *Id.* The circuit court held that petitioner's claim against respondent was contingent and not provable until the entry of the judgment and respondent committed no act of bankruptcy. *Id.* This Court disagreed and reversed, holding that even under the common law rule, a creditor having only a contingent claim was protected against a fraudulent conveyance. *Id.* This Court had the task of interpreting 11 U.S.C.S. § 1. *Id*. With this statute, this Court construed the definition of creditor to be comprehensive and the word "include" and not to be one of limitation. *Id*. This Court stated, "include is frequently, if not generally, used as a word of extension or enlargement rather than as one of limitation or enumeration." *Id*.

Similarly, in *Vermejo Park Corp. v. Kaiser Coal Corp.*, 998 F.2d 783 (10th Cir. 1993) the court was tasked with interpreting 11 U.S.C. § 1109(b) to determine if the debtors were a party in interest to have standing to object to the settlement agreement, since neither was a party in interest. *Id*. Under § 1109(b), "a party in interest, including the debtor, the trustee, a creditors' committee, an equity security holders' committee, a creditor, an equity security holder, or any indenture trustee, may raise and may appear and be heard on an issue in a case under this chapter." *Id*. The court stated under 11 U.S.C. § 102(3), the word "including" is not limiting and therefore, "party in interest" is not confined to list of examples provided in 11 U.S.C. § 1109(b). *Id*. at 788.

The legislative history confirms that the inclusion of the term including was intentional and it must be given its meaning when reading § 503(b). Therefore, section 503(b) is not an exhaustive list because when read in conjunction with 11 U.S.C. § 102(3), Congress intended for the list not to be limiting. This is important because § 102 displays how we interpret the Bankruptcy Code to get the understanding and meaning of the Code. Hence, the insertion of the term "including" in § 503(b) requires an expansive interpretation to provide bankruptcy courts with flexibility in dealing with specific factual situations that are not mentioned in the illustrative list. As a result, courts are able to grant an administrative expense when warranted.

In re Lehman Bros. Hldgs., Inc., 487 B.R. 181 (Bankr. S.D.N.Y. 2013). *In re Lehman Bros. Holdings Inc.*, the Lehman brothers filed for chapter 11 bankruptcy, and the professional fees alone totaled 1.8 billion dollars. *Id*. at 182. The appellees are the official committee of unsecured creditors and its individual members that work with the debtor to administer the case, to investigate the claims, and— most importantly— to write the chapter 11 reorganization plan 1103(c). *Id*. An official committee must hire lawyers and accountants and the expenses of paying those professionals are administrative expenses and paid under the reorganization plan. *See* 11 U.S.C.S. §§ 1123(a), 330(a), 503(b)(2), 507(a). *Id*. The bankruptcy court held the payments were not inconsistent with any Bankruptcy Code provision and were permissible pursuant to 1123(b)(6). The court of appeals reversed, holding that to the extent an expense is not covered by 503(b) it is not an administrative expense. The court *In re Lehman Bros. Holdings Inc.,* reasoned the list is meant to be illustrative of the whole universe of administrative terms and the term "including" modifies the term administrative expenses, suggesting that the list describes all administrative expenses, not merely a subset of administrative expenses.

It is universally accepted that the plain language of § 503(b) is not an exhaustive list. *Mediofactoring v. McDermott (In re Connolly N. Am., L.L.C.)*, 802 F.3d 810,816-17 (6th Cir.

2015). Section 503(b) states, 'After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under § 502(f) of this title*, including*-', the term 'including' makes the list non-exhaustive. The list specifies the kinds of administrative expenses that are allowable in a case under the bankruptcy code. For those reasons, the statute must be interpreted consistent with the objective to reimburse creditors for administrative expenses, regardless of the chapter. *See In re Mid-City Parking, Inc.*, 332 B.R. 798 (Bankr. N.D. Ill. 2005). The non-exhaustive nature of the list is further clarified by a proper interpretation of the words in the statute. The court in *Seven Resorts, Inc. v. United States*, held that a proper interpretation of a word does not render other provisions of the statute inconsistent and meaningless. *Seven Resorts, Inc. v. United States*, 112 Fed. Cl. 745,764 (2013). Thus, every word must be given effect. *Setser v. United States*, 566 U.S. 231,239 (2012).

3. Chapter 7 cases are not excluded from § 503(b)(3)(D).

The categories of administrative expenses listed in § 503(b) are intended to be illustrative, not exhaustive. *In re T.A. Brinkoetter & Sons, Inc.*, 467 B.R. 668, 670 (Bankr. C.D. Ill. 2012). This is to provide courts with flexibility to award administrative expenses not specifically mentioned. *In re Health Trio, Inc.*, 584 B.R. 342,352-53 (Bankr. D. Colo. 2018). It stands to reason that if Congress intended to exclude chapter 7 from § 503(b)(3)(D), it could have used similar language as it did in § 503(b)(1)(B). In that section, the language says, "any tax incurred by the estate… 'except' a tax of a kind specified in § 507(a)(8)." There Congress used express language to exclude inapplicable sections. Furthermore, when interpreting statutes, courts should disfavor interpretations that render the language unnecessary. *See Conn. Nat'l Bank v. Germain*, 503 U.S. 249 (1992). Thus, the term including in § 503(b), must be read as applying to § 503(b)(3)(D) because Congress is intentional and since Congress did not expressly exclude it does not mean it is excluded. Since Congress did not expressly exclude Chapter 7, then

Chapter 7 proceedings may be included in the list. Courts have held that where Congress fails to expressly list interest as an administrative expense does not mean that it cannot be an administrative expense. *United States v. Flo-Lizer, Inc. (In re Flo-Lizer, Inc.)*, 916 F.2d 363, 365 (6th Cir. 1990).

The doctrine of *expressio unius est exclusion alterius* is applicable when a statute sets forth a series of items included under a general rule absent an unambiguous general directive. Thus, this interpretation is incorrect, because "including" is the unambiguous general directive in § 503(b). Additionally, narrowing the excerpt presents grammatical and logical problems. *In re Maqsoudi*, 566 B.R. 40,45 (Bankr. C.D. Cal. 2017). Without proper interpretation of the term including, § 503(b) will be misconstrued as an exhaustive list. Thus, rendering the term including as meaningless or superfluous. *Conn. Nat'l Bank v. Germain*, 503 U.S. 249 (1992). Congress would not have included the word "including" in § 503(b)(3) if it did not mean for the list not to be flexible. In *Cafarelli v. Yancy*, the court held that a statute must be interpreted as a whole. *Cafarelli v. Yancy,* 226 F.3d 492,499 (6th Cir. 2000). Congress' intentional inclusion of the term including, must be read as applying to the entire list in § 503(b) because a statue must be interpreted as a whole. Therefore, making it not an exhaustive list. The correct interpretation of the statute must apply the rule of construction using the word, "including". Thus, Chapter 7 is included in § 503(b)(3)(D). It is a rule of construction that "the act cannot be held to destroy itself." *Texas & Pac. R. Co. v. Abilene Cotton Oil Co*., 204 U.S. 426, 447 (1907). Accordingly, the interpretation of an intended term cannot be inconsistent with the following provisions. When the term is intended to be included in a provision logically, it cannot then be used to destroy the same provision. Thus, the term including cannot be used to destroy the remaining provisions, thus rendering a non-exhaustive list, exhaustive. Therefore, it is proper to construe § 503(b) as a non-exhaustive list. Moreover, there has been a broad consensus that the categories listed in §

503(b) are not exhaustive. *See. e.g., In re Al Copeland Enters.*, 991 F.2d 233, 239 (5th Cir. 1993); *United States v. Ledlin (In re Mark Anthony Constr., Inc.)* 886 F.2d 1101 (9th Cir. 1989); *In re T.A. Brinkoetter & Sons, Inc.,* 467 B.R. 668, 670 (Bankr. C.D. Ill. 2012); *In re Maghazeh*, 315 B.R. 650 (Bankr. E.D.N.Y. 2004); *Mediofactoring v. McDermott (In re Connolly N. Am., L.L.C.)*, 802 F.3d 810 (6th Cir. 2015).

In the present case, the bankruptcy court granted Weinberg an administrative expense in the amount of $25,000. R. at 8. Following Debtor's conversion to a chapter 7 case, Weinberg hired a collection law firm which conducted a creditors' examination and uncovered approximately $100,000 in fraudulent cash transfers by the Debtor. R. at 7. Weinberg voluntarily provided the Trustee with sufficient documentation and testimony to establish that the transfers were avoidable as fraudulent transfers. R. at 7. This led to a quick settlement whereby the Trustee recovered $75,000 for the benefit of the bankruptcy estate. R. at 7. The Trustee also acknowledged that Weinberg made a substantial contribution to the estate. R. at 7-8. This Court should find that § 503(b) of the Bankruptcy code is not an exhaustive list because the rules of construction in the statutory language provide flexibility for courts when encountered with a variety of circumstances, such as the one we have here. As a result, § 503(b) must be read expansively. Therefore, chapters 7 cases are not excluded from other provisions of the statute because it would render the term including meaningless and make the following provision inconsistent. Interpreting § 503(b) as a non-exhaustive list is in accordance with statutory language and congressional intent.

B. Equitable Considerations state Courts can grant administrative expense for substantial contribution in Chapter 7 cases.

It is undisputed that the purpose of 11 U.S.C.S. § 503(b) is to enable individual creditors to recover costs and expenses for professional services of attorneys and accountants which were reasonably incurred in aid of the administration of the estate and which inured to the benefit of

the estate. *Aspen Limousine Servs. v. Aspen Limousine Serv.*, 193 B.R. 325,336 (D. Colo. 1996). This is aligned with the objective of § 503(b) because it permits a substantial contribution administrative expense when an applicant shows that it provided services in the bankruptcy that yielded a direct and significant benefit to the estate. *In re S & Y Enters.*, 480 B.R. 452,464 (Bankr. E.D.N.Y. 2012). Inevitably, the purpose of 11 U.S.C. § 503(b)(3)(D) is to encourage creditors in whatever chapter a bankruptcy case is filed to substantially contribute to the estate by pursuing funds that will be available for distribution to claimants. *In re Maust Transp., Inc.*, 589 B.R. 887,898 (Bankr. W.D. Wash. 2018).

In re Maust Transp., Inc., a creditor in a chapter 7 proceeding substantially contributed to the estate. *Id*. at 890-91. The creditor applied for administrative expense and the trustee agreed to the administrative expense. *Id.* at 892. The trustee questioned whether administrative claims were permitted. *Id.* The court recognized that many decisions construing the appropriateness of allowance of an administrative expense involved unique and specific facts that do not fall squarely within one of the enumerated categories of § 503(b). *Id.* at 893. And, where the facts are unique, the court held, where a substantial contribution to the estate is undisputed an administrative expense claim is proper under § 503(b)(3)(D). *Id.* at 899.

Consistent with *In re Maust Transp., Inc*., Weinberg's administrative claim did not fall squarely within one of the enumerated categories of § 503(b). Weinberg's administrative expense claim arose from the substantial contribution he provided to the estate in a chapter 7 proceeding. (R. at 7.) The court *In re Maust Transp., Inc.*, reasoned that Congress's insertion of the term "including" into the introductory paragraph of § 503(b) provides much needed flexibility to bankruptcy courts in dealing with such specific factual situations. The court further reasoned that there are cases where for any number of reasons a creditor may still provide substantial contribution. *Id.* at 899. Both elements apply to Weinberg; his claims did not fall

under the enumerated categories and his claim arose from the substantial contribution he provided in a chapter 7 case. Thus, this court should apply the same reasoning as the court *In re Maust Transp., Inc*. and hold that where there is an undisputed substantial contribution to the estate, an administrative expense claim is proper under § 503(b)(3)(D).

In re Javed, the court held the general unsecured creditor's actions provided a substantial benefit to debtor's estate and case. *In re Javed*, 592 B.R. 615, 623-24 (Bankr. D. Md. 2018). Thus, a substantial contribution claim for a creditor in a chapter 7 case was awarded under 11 U.S.C. § 503(b). *Id.* at 624. In this case, the debtor filed a chapter 7 petition. *Id.* at 617. Prior to the petition, the creditor obtained a judgment against the debtor in state court. *Id.* Shortly after the petition date, the creditor filed an adversary proceeding against the debtor seeking to hold the claims underlying the judgment non-dischargeable under § 523 of the Code. *Id.* The record reflected that the creditor's actions contributed in part to the debtor disclosing certain assets that had been transferred prepetition by the debtor to his spouse and other family members not disclosed in the debtor's bankruptcy documents. *Id.* The court found the flexible approach to § 503(b) *In re Connolly* persuasive. *Id.* at 620. The court reasoned the creditor bears the burden of proof on any request for an administrative expense claim under § 503(b) of the Code. *Id.* at 622. Thus, a creditor must demonstrate that its actions were not intended to thwart the chapter 7 process, but that the actions were necessary under the circumstances and provided a substantial benefit to the estate. *Id.* Additionally, the court noted that creditors in a chapter 7 case may cooperate with the bankruptcy trustee and provide the trustee with information that enhances the value of the estate. *Id.* Furthermore, the structure of the chapter 7 process provides an appropriate incentive, for general unsecured creditors to cooperate with the trustee. *Id.* Therefore, the court concluded the creditors actions provided a substantial benefit to the debtor's estate and allowed the administrative expense claim under § 503(b) of the Code. *Id.* at 624.

The counter position relies heavily on *In re Hackney*. *In re Hackney*, 351 B.R. 179 (Bankr. N.D. Ala. 2006). *In re Hackney*, the court held that "substantial contribution" cannot exist in chapter 7 cases because Congress limited § 503(b)(3)(D) to chapter 9 and chapter 11. *Id.* at 205. When a statute is 'absent a clear intention to disallow a type of expense, such expenses should rise or fall based on the facts of the case and other guiding caselaw.' *In re Maust Transp., Inc.*, 589 B.R. 887 (Bankr. W.D. Wash. 2018). To properly interpret § 503, § 102 must be read as well because the bankruptcy code must be interpreted as a whole. *Cafarelli v. Yancy,* 226 F.3d 492,499 (6th Cir. 2000).

In re Health Trio Inc., the court held a party can be awarded a chapter 7 administrative expense priority claim if such party makes a substantial contribution to a case under chapter 7, even though only one section of the statute specifically refers to chapters 9 and 11. *In re Health Trio, Inc.*, 584 B.R. 342,351 (Bankr. D. Colo. 2018). Thus, courts must refuse to find a limitation where one was not expressly created by Congress. *In re Connolly N. Am., L.L.C.*, 802 F.3d 810, 818 (6th Cir. 2015).

Section 503(b)(3) lists who is allowed to apply for an administrative expense and how the expenses can be incurred. It states in § 503(b)(3)(D), a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under § 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title. In the present case, Weinberg is a creditor in accordance with § 503(b)(3)(D) who made an undisputed substantial contribution in a case. R. at 8. Although, chapter 9 and 11 are expressly stated, the mere fact that chapter 7 is not listed does not mean it is excluded. *See United States v. Flo-Lizer, Inc. (In re Flo-Lizer, Inc.)*, 916 F.2d 363 (6th Cir. 1990). Thus, section 503(b) is not an exhaustive list and chapter 7 is not explicitly excluded from § 503(b)(3)(D). The rules of construction of the statutory language which explain the term

including is not limiting. Further, equitable considerations, such as the purpose of the statute, further supports that § 503(b)(3)(D) is not limiting because creditors are encouraged to substantially contribute to the estate by pursuing funds that will be available for distribution to claimants. *In re Javed*, 592 B.R. 615, 623-24 (Bankr. D. Md. 2018).

1. Creditor participation in Chapter 7 cases benefits the estate.

Incentivizing creditors to investigate and discover fraudulent transfers of the debtor can maximize the estate. *In re Javed*, 592 B.R. 615, 623-24 (Bankr. D. Md. 2018). *In re Javed,* the court held that creditors in a chapter 7 case may cooperate with a trustee, and also may provide trustees with information that may enhance the value of the estate. *In re Javed*, 592 B.R. 615, 623-24 (Bankr. D. Md. 2018). This bolsters the overall goal to be achieved, which is the enhancement of the estate. Applying such an interpretation, it must be accepted that a creditor is encouraged to discover claims that would diminish the estate, such as a fraudulent transfer. It also must be accepted that creditors are encouraged to discover claims which may enhance the estate, such as through settlement claims. Thus, creditor participation benefits the estate because fraudulent transfers can be discovered and deterred, while the estate is maximized from settlements. Moreover, creditors will benefit as well as debtors. Creditors benefit because the estate is maximized and there are more funds to disperse to the class of creditors. Honest but unfortunate debtors will not be affected my creditor participation because generally they are not fraudulently transferring funds, the honest but unfortunate debtor is seeking a fresh start that bankruptcy allows.

In chapters 9 and in some chapter 11 proceedings, a creditor will spend its own time and resources to benefit the estate. However, in a chapter 7 case, the trustee fulfills this role. It is common course that creditors use their time and resources in Chapter 9 and Chapter 11 cases because the debtor-in-possession is also the trustee. Therefore, it can be inferred that Chapters 9

and 11 were expressly referenced to in the statute because such cases require creditors to step in and make a substantial contribution for the benefit of the estate more often than Chapter 7 cases. *In re Connolly N. Am., L.L.C.*, 802 F.3d 810, 817-18 (6th Cir. 2015).

Allowing creditors to recover administrative expenses would not destroy the purpose of a chapter 7 Trustee. One of the primary responsibilities of a chapter 7 trustee is to collect and reduce to money, the property of the estate. The trustee also has the duty to realize the maximum return for the estate for further distribution to the debtor's creditors and minimizing the administrative expenses of the estate. A trustee shall not administer an estate or an asset in an estate where the proceeds of liquidation will primarily benefit the trustee or professionals. *In re Reynolds,* 470 B.R. 138,148 (Bankr. D. Colo. 2012). Further, a trustee may sell assets only if the sale will result in a meaningful distribution to creditors. *Id*.

Substantial Contribution claims should be allowed because the estate will be maximized. *Hall Fin. Grp. v. DP Partners, Ltd. P'shp (In re DP Partners, Ltd. P'shp)*, 106 F.3d 667 (5th Cir. 1997). *In re DP Partners*, a substantial contribution claim was filed by HFG after discovering a fraudulent conveyance. *Id.* at 674. The court held that the substantial contributions claims should be awarded. *Id.* The view according to *In re DP Partners, Ltd. P'shp*, determines that the purpose of 503(b)(3)(D) was to encourage activities that benefit the estate as a whole. Jeffrey W. Warren, *Substantial Contribution Claims A New Perspective*, AM. BUS. J., May 2001. Maximization of the estate is significant to the purpose of this code and the Bankruptcy system. *Id.* Thus, it is imperative that both creditors and Debtors perform task that support this purpose. *Id.* Substantial Contribution claims, for instance, support this purpose of Bankruptcy System. *Id.* If an estate is maximized due to the substantial contribution of a creditor, the purpose of Bankruptcy System is being upheld and benefits the entirety of Bankruptcy as a whole. *Id.*

The countervailing position incorrectly relies on creditor's motivation of self-interest. *In re Mechem Fin.*, 125 B.R. 151 (Bankr. W.D. Pa. 1991). This position depends on the stance that while creditors are generally presumed to act in their self-interest, this standard acknowledges that there are instances in which creditors take a more significant role and in which the estate property should pay for them to do so. Damian S. Schaible and Eli J. Vonnegu, *Can Selfish Be Substantial? Motivation in Substantial Contribution Claim Standards*, AM. BUS. J., Feb. 2013, at 35. Creditor motivation is irrelevant in regard to substantial contribution, if such substantial contribution enhances the estate. *Id*. As stated in *Substantial Contribution Claims A New Perspective*, "the degree of benefits conferred or contribution made by an applicant for a substantial contribution claim is not diminished by selfish or shrewd motivations". Jeffrey W. Warren, *Substantial Contribution Claims A New Perspective*, AM. BUS. J., May 2001. The Bankruptcy Court has a duty to maximize the value of the estate. *See In re Food Barn Stores, Inc.*, 107 F.3d 558, 567 n.16 (8th Cir. 1997); *M.R.R. Traders, Inc. v. Cave Atlantique, Inc*., 788 F.2d 816, 818 (1st Cir. 1986); *In re Silver Bros. Co.,* 179 B.R. 986, 1007 (Bankr. D.N.H. 1995). Therefore, the involvement of a creditor enhances and positively influences the Bankruptcy System.

2. The modern trend is more consistent with the plain meaning and structure of § 503(b).

More courts, including courts from the Fourth, Sixth, Ninth, and Tenth Circuits, are taking a more flexible approach when analyzing § 503 which recognizes the importance of considering the totality of the circumstance. *See In re Javed*, 592 B.R. 615 (Bankr. D. Md. 2018). Given the recent trend of courts to rely upon a more flexible approach, it warrants evaluation. For example, *In re Connolly N. Am., LLC*, the court held, "it is proper for a court of equity to award a substantial contribution claim in certain circumstances in a chapter 7 case where creditors substantially assist the United State Trustee and/or the chapter 7 trustee in chapter 7

cases." *In re Connolly N. Am., L.L.C.*, 802 F.3d 810 (6th Cir. 2015). More recently, *In re Maqsoudi*, the court held "where a creditor had made a substantial contribution to a Chapter 7 case, the court had discretion to allow an administrative expense in accordance with the equities of the case." *In re Maqsoudi*, 566 B.R. 40, 46 (Bankr. C.D. Cal. 2017). This approach embraces the purpose of § 503(b)(3)(D), which is to encourage creditors in whatever chapter to substantially contribute to the estate by pursuing funds that increase the distribution for claimants. *In re Maust Transp., Inc.*, 589 B.R. 887 (Bankr. W.D. Wash. 2018).

C. The belief that bankruptcy provides equitable relief would be called into question permanently.

It is undisputed that Bankruptcy courts are courts of equity, their decisions are unimpeachable so long as these powers are exercised within the confines of the Bankruptcy Code. *In re Connolly N. Am., L.L.C.*, 802 F.3d at 814. In our case, § 503(b) allows administrative expenses for a substantial contribution in Chapter 7 because Congress meant for the word including to have meaning when read in the statute. Therefore, the court exercised its powers within the confines of the Bankruptcy Code and its decision should be affirmed. Otherwise, the belief that bankruptcy provides equitable relief would be called into question permanently and bankruptcy would be destroyed. Interpreting 503(b) expansively as Congress intended, benefits Bankruptcy and the belief that it provided equitable relief for creditors and debtors. Increased participation from creditors has proven beneficial. With the help of creditors cases could move faster, creditor recoveries could be increased, and a larger number of debtors might be salvaged. Edward A. Stone, *Comment: Encouraging Creditor Participation: Integrating the Allowance of Administrative Expenses with the Common Fund Theory*, 15 Bank. Dev. J. 223 (1999).

If the belief of bankruptcy is permanently called into question because creditor's do not have faith it provides equitable relief, bankruptcy would be destroyed. Confidence in bankruptcy will be lost, the integrity of bankruptcy courts and courts in general will be diminished, and §

503(b)(3)(D) of the Bankruptcy code will be meaningless. For example, in a chapter 7 case, the debtor gives over his non-exempt assets to the trustee for distribution to creditors. *In re Reynolds,* 470 B.R. 138,148 (Bankr. D. Colo. 2012). In exchange, he receives a discharge of the remaining unsatisfied portion of his dischargeable debts. *Id.* This is the grand bargain at the heart of a chapter 7 bankruptcy proceeding. *Id.* When a chapter 7 trustee for that matter — on purely procedural grounds, succeeds in causing the disallowance of a creditor claim the confidence in the integrity of the bankruptcy court is severely undermined. *Id.* As well as the very most basic precepts of the Bankruptcy Code. *Id.* This will also diminish the integrity of the court. *Id.* Thus, creditors will have no reason to become involved in the bankruptcy process because they are not getting reimbursed for increasing the estate. Creditors are the parties in a bankruptcy whose interest are most at risk, they will decline to participate for this very reason. Edward A. Stone, *Comment: Encouraging Creditor Participation: Integrating the Allowance of Administrative Expenses with the Common Fund Theory*, 15 Bank. Dev. J. 223 (1999).

Section 503(b)(3)(D) of the Bankruptcy code will be meaningless because it strongly encourages activities that benefit the estate from creditors. *Id*. If a creditor is not reimbursed for maximizing the value of the estate there will be unjust enrichment. *Id*. The language and the intent of the administrative expense's statute entitles the creditor to restitution. *Id*. The creditor has already incurred the expenses and time, that resulted in a benefit to the estate. *Id*. A denial of recovery would result in a detriment to the creditor. *Id*. Therefore, creditor's will be discouraged to participate in maximizing the estate if it will result in non-compensable costs, while other creditors are afforded a benefit. *Id*.

Therefore, this Court should find that § 503(b)(3)(D) must be interpreted expansively, encouraging recovery of assets and encouraging maximizing the property of the estate from creditor participation allowing reimbursement. Meaningful creditor participation is beneficial to

the estate and bankruptcy. This proper interpretation will prevent the integrity of bankruptcy from being lost.

CONCLUSION

For the foregoing reasons, the Respondent respectfully requests this Court affirm the judgment of the Court of Appeals for the Thirteenth Circuit.

Respectfully submitted,

Team R 62

Counsel for Respondent

APPENDIX A

11 U.S.C. § 102 (2011).

In this title--

(1) "after notice and a hearing", or a similar phrase-

(A) means after such notice as is appropriate in the particular circumstances, and such opportunity for a hearing as is appropriate in the particular circumstances; but

(B) authorizes an act without an actual hearing if such notice is given properly and if-

(i) such a hearing is not requested timely by a party in interest; or

(ii) there is insufficient time for a hearing to be commenced before such act must be done, and the court authorizes such act;

(2) "claim against the Debtor" includes claim against property of the Debtor;

(3) "includes" and "including" are not limiting;

(4) "may not" is prohibitive, and not permissive;

(5) "or" is not exclusive;

(6) "order for relief" means entry of an order for relief;

(7) the singular includes the plural;

(8) a definition, contained in a section of this title that refers to another section of this title, does not, for the

purpose of such reference, affect the meaning of a term used in such other section; and

(9) "United States trustee" includes a designee of the United States trustee.

APPENDIX B

11 U.S.C. § 361 (2011).

When adequate protection is required under section 362, 363, or 364 of this title of an interest of an entity in property, such adequate protection may be provided by--

(1) requiring the trustee to make a cash payment or periodic cash payments to such entity, to the extent that the stay under section 362 of this title, use, sale, or lease under section 363 of this title, or any grant of a lien under section 364 of this title results in a decrease in the value of such entity's interest in such property;

(2) providing to such entity an additional or replacement lien to the extent that such stay, use, sale, lease, or grant results in a decrease in the value of such entity's interest in such property; or

(3) granting such other relief, other than entitling such entity to compensation allowable under section 503(b)(1) of this title as an administrative expense, as will result in the realization by such entity of the indubitable equivalent of such entity's interest in such property.

APPENDIX C

11 U.S.C. § 362 (2011).

(a) Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title, or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970, operates as a stay, applicable to all entities, of--

(1) the commencement or continuation, including the issuance or employment of process, of a judicial, administrative, or other action or proceeding against the Debtor that was or could have been commenced before the commencement of the case under this title, or to recover a claim against the Debtor that arose before the commencement of the case under this title;

(2) the enforcement, against the Debtor or against property of the estate, of a judgment obtained before the commencement of the case under this title;

(3) any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate;

(4) any act to create, perfect, or enforce any lien against property of the estate;

(5) any act to create, perfect, or enforce against property of the Debtor any lien to the extent that such lien secures a claim that arose before the commencement of the case under this title;

(6) any act to collect, assess, or recover a claim against the Debtor that arose before the commencement of the case under this title;

(7)-(28)[omitted]

The provisions of paragraphs (12) and (13) of this subsection shall apply with respect to any such petition filed on or before December 31, 1989.

(b) – (o) [omitted]

APPENDIX D

11 U.S.C. § 363 (2011).

(a) In this section, "cash collateral" means cash, negotiable instruments, documents of title, securities, deposit accounts, or other cash equivalents whenever acquired in which the estate and an entity other than the estate have an interest and includes the proceeds, products, offspring, rents, or profits of property and the fees, charges, accounts or other payments for the use or occupancy of rooms and other public facilities in hotels, motels, or other lodging properties subject to a security interest as provided in section 552(b) of this title, whether existing before or after the commencement of a case under this title.

(b)(1) [omitted]

(c)(1) [omitted]

(d) [omitted]

(e) Notwithstanding any other provision of this section, at any time, on request of an entity that has an interest in property used, sold, or leased, or proposed to be used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest. This subsection also applies to property that is subject to any unexpired lease of personal property (to the exclusion of such property being subject to an order to grant relief from the stay under section 362).

(f)-(p)[omitted]

APPENDIX E

11 U.S.C. § 503 (2011).

(a) An entity may timely file a request for payment of an administrative expense, or may tardily file such request if permitted by the court for cause.

(b) After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including

(1)(A) [omitted]

(B) - **(D)** [omitted]

(2) [omitted]

(3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by

(A) a creditor that files a petition under section 303 of this title;

(B) a creditor that recovers, after the court's approval, for the benefit of the estate any property transferred or concealed by the debtor;

(C) a creditor in connection with the prosecution of a criminal offense relating to the case or to the business or property of the debtor;

(D) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title;

(E) - **(F)** [omitted]

(4) reasonable compensation for professional services rendered by an attorney or an accountant of an entity whose expense is allowable under subparagraph (A), (B), (C), (D), or (E) of paragraph (3) of this subsection, based on the time, the nature, the extent, and the value of such services, and the cost of comparable services other than in a case under this title, and reimbursement for actual, necessary expenses incurred by such attorney or accountant;

(5) reasonable compensation for services rendered by an indenture trustee in making a substantial contribution in a case under chapter 9 or 11 of this title, based on the time, the nature, the extent, and the value of such services,

and the cost of comparable services other than in a case under this title;

(6)-(9) [omitted]

(c) [omitted]

APPENDIX F

11 U.S.C. § 542 (2011).

(a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

(b)- (e) [omitted]